

2. Always save a consistent portion of your income.
3. Spend the interest, never the principal.

My mother hammered this home to me every payday, so much so that these became the core principles upon which I built O'Leary Funds. Why did she invest like this? Back in the fifties, investors wanted to get paid for their risk. They wanted, say, a 7 percent dividend on their IBM stock in case the company nosedived. They wanted a little something, some goodwill, in return for trusting the company not to put their hard-earned money in harm's way. They were conservative investors, the kind who would *never* sink a dime into a non-dividend-paying stock like Dell or Google—or Facebook, for that matter, a company that's impossible to value accurately because it doesn't return any cash to its shareholders. Quite simply, dividends are barometers of a company's worth and health. My mother would have watched Facebook's IPO the way other people watch horror movies. All those people! All that money! And for what, exactly?

In the mid-2000s, I was a broad and avid investor. I had made a fortune when I sold The Learning Company to Mattel in 1998, a deal that netted me, my partners, and our shareholders \$4.2 billion. I was living in Boston at the time and put half my earnings with my money managers. The other half I invested heavily in hedge funds based in Boston and New York. Eventually, I found myself sinking two-thirds of my money into hedge funds. This was very uncharacteristic of me, focusing such a big portion of my portfolio in one sector, but the high returns were too good to resist.

Then came the financial crisis. In 2008, the hedge fund sector collapsed in an illiquidity trap. Hedge fund managers gated their fund flows, restricting the amount of withdrawals investors could make. A gate provision is almost always a negative event, and for good reason: The values of hedge funds plummeted almost overnight. So I lost a significant chunk of my equity. All I could do was sit idly by and watch.

I experienced a massive gut check, and a harsh lesson. What was I thinking? I was not that kind of investor. I was not the kind of guy who puts two-thirds of his portfolio in any one sector or asset class. I